EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Calayan, Cagayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri, Cagayan. This town has a total land area of 54,953.75 hectares and is a third class Municipality with twelve (12) barangays. This municipality is an archipelago composed of small islands and islets.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Calayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Calayan, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	687,584,811.72	622,435,691.53	65,149,120.19
Liabilities	154,635,063.77	134,424,553.64	20,210,510.13
Government Equity	532,949,747.95	488,011,137.89	44,938,610.06
Financial Performance			
Income	184,339,690.82	166,574,885.33	17,764,805.49
Expense	155,699,743.33	142,517,322.65	13,182,420.68
Appropriations, Allotments and Obligation			
Appropriations	178,511,318.04	320,995,617.00	(142,484,298.96)
Allotments	154,347,797.11	188,784,966.46	(34,437,169.35)
Obligations	142,684,844.19	170,093,379.06	(27,408,534.87)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Calayan, Cagayan for the year-ended December 31, 2021 due to: (1) non-reconciliation of difference between the Report on Physical Count of Property, Plant and Equipment and the accounting records amounting to P159,687,058.24; (2) inclusion of unserviceable properties amounting to P35,960,326.40 in the Property, Plant and Equipment account; and (3) existence of long outstanding receivables amounting to P15,127,069.14.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P523,617,571.48 as of December 31, 2021 cannot be determined due to: (1) existence of unreconciled difference amounting to P159,687,058.24 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and accounting records; (2) non-conduct of the one-time cleansing procedures in its physical inventory; and (3) incomplete RPCPPE and property records, contrary to COA Circular 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.**

   We recommended that the Management:

   a. Thru the Inventory Committee, conduct physical inventory of all items of PPE of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station, within the period prescribed under the aforementioned COA Circular;

   b. Update the property records based on the results of physical inventory, and reconcile the same with accounting records to make the records reflective of the actual count of PPEs;

   c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. Direct the GSO Designate to prepare, maintain and update Property Cards for each item of the PPE pursuant to Section 114, Paragraph 4 of the MNGAs for LGUs Volume I.

2. **Disposal of unserviceable properties amounting to P44,400,133.82 were not undertaken by the Municipality, of which P35,960,326.40 are still included in the Property, Plant and Equipment accounts, contrary to Section 79 of Presidential Decree 1445 and pertinent sections of COA Circular No. 92-386 dated October 20, 1992, thus, casting doubt on the reliability and accuracy of the PPE accounts and exposing it to further deterioration and risk of loss.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Direct all the accountable officers who are in custody of unserviceable properties to return the same to the GSO-Designate;

   b. Instruct the GSO-Designate to institute measures for the proper disposal of these properties in accordance with Title V of COA Circular No. 92-386 dated October 20, 1992; and

   c. Instruct the Municipal Accountant to drop from the books the unserviceable properties only upon the completion of the disposal procedures using the Inventory and Inspection Report of Unserviceable Property provided by the COA to the Disposal Committee.

3. **Various receivables amounting to P15,127,069.14 as at December 31, 2021, remained outstanding for more than ten (10) years, contrary to Section 2 of Presidential Decree 1445, Section 6.1 of COA Circular 2016-005 and pertinent provisions of COA Circular 2012-004, thus, affecting the fair presentation of these accounts in the Financial Statements.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Direct the Municipal Accountant to issue Demand Letters to beneficiaries of the Livelihood Program for the payment of their loans as reported under the Accounts Receivable;

   b. Enforce payment or cause the deduction from the salaries of employees still connected with the Municipality for the settlement of their excess claims for travelling expenses;

c. Exhaust all possible remedies available to collect from the persons liable who are separated or deceased, such as resorting to all legal remedies available to the LGU; and

d. Strictly comply with Section 6.1 of COA Circular 2016-005 and pertinent provisions of COA Circular 2012-004 on the regular monitoring and analysis of receivable accounts to ensure that these are collected when due and the immediate liquidation and settlement of all cash advances.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the twelve (12) audit recommendations in the CY 2020 Annual Audit Report, five (5) were implemented, five (5) were partially implemented, and two (2) were not implemented and reiterated in Part II of this Report.